Negligent Misstatement and Third Parties

English law | Study guide | Protection beyond the recipient

1. Who receives the information, and who suffers?

In the familiar negligent-advice case, a claimant receives information, relies on it and suffers financial loss. Hedley Byrne v Heller [1964] AC 465 recognised that a special relationship can support a duty for such advice, although the bank won because of its disclaimer.

This lesson examines different situations. A person may suffer because information **about them** is given to somebody else. Alternatively, a professional may negligently perform a service intended to benefit someone who is not the client. The claimant need not always be the recipient who acts on a statement.

> Identify three roles separately: the defendant performing the task; the recipient or client; and the person whose financial interests are affected. The roles may belong to different people.

2. Two distinct illustrations

Spring: a carelessly prepared employment reference is sent to a prospective employer. Its subject, rather than its reader, suffers the employment loss. **White v Jones:** professionals fail to prepare a client's new will in time. The intended beneficiaries lose the gifts.

White v Jones is a case about negligent professional services and an omission, not simply an inaccurate statement. It belongs here because it helps explain how a duty can protect a third party's economic interests.

3. Key vocabulary

Third party: someone outside the immediate transaction or retainer. **Assumption of responsibility:** responsibility treated as undertaken in the circumstances. **Testator:** the person making a will. **Beneficiary:** a person intended to receive a benefit. **Legacy:** a gift under a will.

Scope: the law of England and Wales. These are recognised situations, not a rule that every foreseeable financial loss to a third party is recoverable.

Spring v Guardian Assurance

1. Facts: the claimant was the subject of the reference

Mr Spring worked in insurance sales. After his dismissal, he sought appointment to sell another insurer's policies. Scottish Amicable requested a reference from Guardian Assurance. The reference contained seriously damaging allegations, including an allegation of dishonesty. It harmed his prospects of obtaining work in insurance.

The trial judge distinguished dishonesty from incompetence and found failures to investigate allegations with reasonable care. The person who assembled the reference had relied on information supplied by others; the negligence lay in the underlying preparation and inquiries. A carelessly compiled reference is the issue, not the mere fact that a reference was unfavourable.

2. Why could a duty be owed to Mr Spring?

Mr Spring did not act on the reference as advice. A prospective employer received it and made a decision about him. Nevertheless, the House of Lords recognised a duty to take reasonable care in preparing the reference for the protection of its subject's economic interests.

Lord Goff explained the duty through assumption of responsibility. Other majority speeches also considered proximity, foreseeability and policy. This was a legal conclusion based on the relationship and task, not a universal presumption that all employers guarantee favourable references.

3. Outcome and limits

Mr Spring's appeal was allowed by a majority of four to one. He won on the duty issue. The case was sent back to the Court of Appeal to consider causation. The House did not itself finally assess and award all the claimed earnings losses.

> The duty is to take reasonable care, not to praise. A carefully investigated, accurate negative reference is different from a damaging reference prepared negligently. This case does not establish a general obligation to provide every requested reference.

Spring v Guardian Assurance plc [1995] 2 AC 296; [1994] UKHL 7. Judgment: 7 July 1994. The report year does not mean it was decided in 1995.

White v Jones

1. Facts: negligent delay, not an incorrectly reduced gift

Mr Barratt had made a will excluding his two daughters after a family dispute. Following reconciliation, he instructed his solicitors to prepare a new will giving **£9,000 to each daughter**. The work was negligently delayed. He died before the new will was prepared and executed, leaving the old will in force.

The daughters therefore lost the intended gifts. They sued the professionals responsible for the will work. Their complaint was not that the father's instructions had been implemented with smaller amounts, but that the intended new will had not been completed in time.

2. The gap in legal protection

The father was the client, but his estate did not suffer the daughters' lost gifts as its own loss. The daughters suffered the loss, yet had no contract with the solicitors. Denying them a duty could leave the professional failure without an effective remedy for the very loss the service was intended to prevent.

Lord Goff's reasoning extended the responsibility undertaken to the testator to the intended beneficiaries. The purpose of the service and the need to avoid this gap were central. A foreseeable disappointment alone does not make every professional responsible to every outsider.

3. Who won?

The daughters won. By a three-to-two majority, the House of Lords dismissed the professionals' appeal and upheld the order in the daughters' favour, with £9,000 damages for each. The daughters did not need to prove that they personally changed their behaviour in reliance on advice.

> What the case establishes: a duty can protect an intended beneficiary of will-making work even without a direct contract. What must still be proved: negligent performance, the necessary causal connection and the loss of the intended benefit.

White v Jones [1995] 2 AC 207; [1995] UKHL 5. Judgment: 16 February 1995. A testator remains free to change their wishes; this decision is not a guarantee of every hoped-for inheritance.

Check Your Understanding

1. Must the claimant always personally rely on the statement?
Answer: No. In Spring, the claimant was the subject of a reference read by others. That recognised duty does not abolish reliance requirements in ordinary advice cases.

2. Does Spring require a positive reference?
Answer: No. It requires reasonable care in preparing it. An accurate, carefully prepared negative reference is not automatically negligent.

3. Did Spring finally receive a quantified award from the House?
Answer: No. His appeal succeeded on duty, but causation was remitted to the Court of Appeal.

4. What went wrong in White v Jones?
Answer: Negligent delay meant the intended new will was not completed before the father died. The old will remained operative.

5. Why protect the daughters despite no contract?
Answer: The service was intended to benefit them. A duty avoided the gap between the client with no relevant loss and beneficiaries with loss but no contract.

6. Is White v Jones simply a negligent statement case?
Answer: No. It concerns negligent professional services and failure to act. The connection is protection of a third party's economic interests.

7. Is foreseeability of economic loss sufficient on its own?
Answer: No. Identify the recognised duty and its scope, then establish breach, causation and loss. These cases do not create unlimited liability to outsiders.

> Exam method: map the parties → identify the task and protected interest → use the relevant precedent → establish duty and scope → analyse breach, causation and the particular financial loss.

Sources

Based on the supplied transcript, with factual and legal corrections. Primary judgments: Spring [1994] UKHL 7 / [1995] 2 AC 296 (especially Lord Goff and the final order); White v Jones [1995] UKHL 5 / [1995] 2 AC 207 (especially Lord Goff and Lord Nolan). Background: Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465.